tools and features to semi-annual reports that appear on a website or are otherwise provided electronically, and (3) require a semi-annual report to include a link or some other means of immediately accessing information referenced in the report that is available online.[383]

We request comment generally on the proposed instructions regarding funds' electronic semi-annual reports, and specifically on the following issues:

132. Are the proposed instructions regarding funds' electronic semi-annual reports appropriate? Should any of those instructions be modified or should any other revisions be made to the Commission's proposal with regard to electronic shareholder reports, in order to better reflect investor preferences or to encourage the use of electronic shareholder reports by funds?

b. Alternatives Involving Electronic Semi-Annual Reports

Currently, funds are required to transmit semi-annual reports to shareholders, and—as with annual reports—they will be able to satisfy this requirement in certain cases under rule 30e-3 by posting the report (and certain other required materials) online and providing a notice of the reports' online availability.[384] We considered proposing alternative requirements for transmitting semi-annual reports. For example, we considered allowing funds to satisfy the requirement to transmit semi-annual reports by filing certain information on Form N-CSR. Also, in light of current internet use trends, we considered allowing funds to satisfy the

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383 *Id*.

384 *See supra* footnote 22 and accompanying text. The Commission has previously interpreted the meaning of "transmit" in this context. *See* discussion of previous Commission guidance on the use of electronic media for delivery purposes, *supra* footnote 21.

requirement to transmit a semi-annual report by updating certain information on a fund website either semi-annually or on some more-frequent basis.

For example, we understand that many funds currently publish monthly or quarterly fact sheets online.[385] These fact sheets tend to include much of the information that would appear in the proposed requirements for funds' semi-annual reports, and often present such information in a concise format that may be appealing to investors. We understand that some shareholders or financial professionals may use fact sheets to monitor fund investments because, among other reasons, fact sheets include more up-to-date performance information than shareholder reports or prospectuses. While we are not proposing an approach in which a fund's obligation to transmit semi-annual reports would be deemed to be satisfied if the fund were to merely post updated fact sheets (or similar documents) online on a semi-annual or more-frequent basis, we are soliciting comment on potential disclosure alternatives that would leverage information that many funds already provide on their websites.

An approach that would leverage frequently updated website content, such as fund fact sheets, raises the consideration of how frequently required regulatory disclosures should ideally be provided to fund shareholders. Our proposed semi-annual report requirement parallels current requirements with regard to the frequency of shareholder reports, which are statutorily mandated to be transmitted on a semi-annual basis.[386] We are currently unaware of any evidence indicating that fund investors specifically desire shareholder reports to be

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385 *See generally supra* text following footnote 23.

386 *See* section 30(e) of the Investment Company Act.

provided less frequently.[387] The proposed approach also reflects our view that the proposed amendments to the contents of annual and semi-annual reports represent the information that would be most useful and salient to investors in assessing and monitoring their fund investments.

More generally, we considered the effects and benefits of a disclosure framework in which fund shareholders have regulatory information "pushed" to them on a semi-annual basis (*e.g.*, the required direct transmission of shareholder reports twice a year) versus a hypothetical disclosure framework in which fund shareholders would have the onus to periodically "pull" regulatory disclosures from various sources (*e.g.*, information that is periodically updated on a fund website).[388] We are concerned that such a hypothetical disclosure framework would represent a significant change in current practices. We are also concerned that a "pull"-only disclosure framework may not be aligned with investor preferences. Although we understand that some investors prefer receiving fund disclosure electronically (*e.g.*, through email, mobile application, or website availability), we do not have evidence that these investors would prefer a disclosure approach in which they would receive

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387 *See, e.g.,* Broadridge Comment Letter II. *See also* ICI Comment Letter I (asserting that a streamlined shareholder report should be required on the same semi-annual frequency as the current shareholder report). *But see supra* footnotes 54 to 55 and accompanying text (discussing some investors' concerns about the volume and frequency of fund disclosure materials they currently receive).

388 For example, rule 30e-3 could be understood as a hybrid "push/pull" disclosure framework in which notices are pushed out to investors to notify them that shareholders reports have been posted online and are available to be pulled down. *See* rule 30e-3(c). In addition, rule 30e-3 allows shareholders to elect to remain in a pure "push" disclosure framework in which those shareholders will continue to have shareholder reports directly delivered to them. *See* rule 30e-3(f).

no notification that updated disclosures are available.[389] We recognize that a hypothetical disclosure framework could require funds to "push" to investors a short notice that updated information is available online, similar to the current approach under rule 30e-3. However, rule 30e-3 contemplates notices being provided semi-annually. To the extent that, under the hypothetical disclosure framework, funds would update their online materials more frequently than semi-annually, providing notices each time that online materials were updated could be costly and could dissuade funds from updating these materials. Moreover, we understand that some investors generally prefer to receive at least certain fund information in paper format.[390] We recognize that there are other possible permutations of these disclosure approaches (for example, providing a notice of updated online information only semi-annually or permitting a fund to rely on rule 30e-3 with respect to the requirement to provide semi-annual reports, while continuing to require funds to provide annual reports directly to shareholders), and we request comment on these possible approaches below.

In addition, potential regulatory challenges and unintended consequences could result from such a hypothetical disclosure framework. For example, as discussed below, we seek comment regarding the extent to which this hypothetical framework could result in a bifurcated disclosure system. That is, we ask about the effects on fund investors if certain funds would no longer transmit semi-annual reports directly and instead would update information posted online, while other funds would continue to transmit semi-annual reports directly.

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389 *See supra* footnote 70 and accompanying text.

390 *See supra* footnotes 71 and 72 and accompanying text.

We request comment generally on the alternatives to the proposed semi-annual report transmission requirement that we considered, and specifically on the following issues:

133. Should the Commission require the direct transmission of semi-annual reports, as proposed? Alternatively, should the Commission adopt different conditions for satisfying this transmission requirement? For example, should funds be permitted to satisfy this requirement by filing certain information on Form N-CSR, pursuant to certain conditions? If so, what information should be filed, and what conditions would be appropriate? As another example, under the proposal, funds registered on Form N-1A would no longer be permitted to rely on rule 30e-3 to satisfy annual and semi-annual report transmission requirements.[391] Should we instead continue to permit these funds to rely on rule 30e-3 as an alternative method of transmitting their semi-annual reports (while, as proposed, no longer permitting them to rely on the rule with respect to annual reports)? What evidence is there (for example, of investor preferences) to support different transmission requirements for semi-annual reports versus annual reports?

134. As a further alternative, would it be appropriate for the Commission to permit funds to satisfy their obligations to transmit semi-annual reports by updating certain information that appears on their websites (for example, updating a fund fact sheet), either semi-annually or on some more frequent basis? If so, what frequency and which information would be appropriate? Would it be appropriate to require a fund's website to include all of the information that we are proposing that funds include in their semi-annual reports, a subset of this information, or different information? To what extent should the Commission specify the

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[391] *See infra* Section II.G.